MIDTERM EXAM
MGT 371 Principles of Management
Time: 60 minutes
Students are allowed to use reference materials during the exam
Submit the exam sheet along with your answers

Question 1: (2 points)

According to Henry Mintzberg, what are the roles of a manager? List them and offer relevant examples for each managerial role?

Question 2: (5 points)

2.1. Circle the correct answer (T) or (F) for true or false and choose the most appropriate option for the following questions (with a brief explanation):

1.	The Figurehead role involves performing ceremonial duties, which can include attending weddings or giving awards.	T	F
2.	One of the objective factors that diminishes the role of management is the increasing uncertainty and risk factors.	T	F
3.	Managerial skills are entirely innate and cannot be learned or improved through experience.	T	F
4.	According to Henri Fayol's principles, the principle of "Subordination of Individual Interest to the General Interest" encourages a focus on achieving short-term gains and personal interests over long-term success.	T	F
5.	Managing a system is more complex than managing the operations of an organization.	T	F
6.	The relationship between efficiency and effectiveness suggests that organizations must first be efficient before they can be effective.	T	F
7.	The amount of time managers spend on each managerial function is fixed and does not change across different levels.	T	F
8.	Managers have the greatest control over outcomes in environments that are both stable and simple.	T	F
9.	A well-managed downsizing strategy can reduce complexity and improve organizational focus.	T	F
10.	Because macroeconomic factors are uncontrollable, managers do not need to consider them in decision-making.	T	F

2.2. Choose the most accurate answer

1. What is one potential negative impact of workforce diversity if not managed well?

A. Increased collaboration among employees
B. Higher employee retention rates
C. High turnover rates and conflicts among employees
D. Improved communication across teams

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2. What is the primary aim of management activities?

A. Attain high results and efficiency.

B. Fulfill the manager's wishes.

C. Achieve high efficiency.

D. Attain high performance.

3. What is the most accurate description of the systemic approach to Management?

A. Components are interdependent but do not engage with external factors.
B. A collection of unrelated components, each engaging with the external environment independently.
C. Components maintain relatively stable connections with the external environment.
D. Components are interdependent in dynamic relationships with the external environment.

4. A retail store depends on manufacturers to deliver goods for sale. These manufacturers are considered:

A-Customers
B- Relevant organizations
C- Suppliers
D- Partners

5. Why do first-line managers spend more time on the leading function?

A- They are responsible for setting long-term strategic goals.
B- They need to guide and supervise employees to ensure effective performance.
C- They focus on analyzing financial data and business trends.
D- They handle complex organizational decisions.

6. What does the organizing function in management involve?

A. Providing pep talks to motivate the team

B. Monitoring progress towards objectives

C. Creating roles and structuring resources

D. Comparing actual performance with planned goals

7. Which of the following is the primary role of human skills in management?

A- Analyzing financial reports and creating business strategies
B- Managing technical tasks and troubleshooting
C- Building positive relationships and effective communication
D- Developing long-term strategic plans for the organization

8. An organization expands rapidly but fails to maintain coordination and shared values. Which combination of issues is most likely to occur?

A. Increased efficiency and strong culture
B. Reduced workload and better communication
C. Management challenges and cultural dilution
D. Lower training costs and improved performance

9. Which of the following best describes the transition from the "melting pot" idea to "celebration of difference"?

A. From blending cultures into one to appreciating each culture's uniqueness
B. From workplace diversity to complete cultural separation
C. From reducing conflicts to enforcing a single cultural identity
D. From hiring diverse employees to focusing only on one dominant culture

10. As managers move up the organizational hierarchy, how does the importance of managerial skills typically change?

A. Technical skills become more important, while conceptual skills decrease
B. Conceptual skills become more important, while technical skills decrease
C. Human skills become less important
D. All skills remain equally important at all levels

Question 3: Case study (3 points**)**

Story of Tesla Management

In 2011, Tesla declared its goal to become the "most appealing car company of the 21st century" and accelerate the world's transition to electric cars. At that time, this seemed somewhat idealistic. Tesla has revealed plans to expand its factory in Germany, aiming to double its capacity to 1 million cars per year.

To continue its breakthrough, every business needs to set superior principles. Based on this perspective, Tesla applied the principle of "No Silo" to its brand. "No Silo" means no isolation. "Silo" describes the isolation that occurs when employees or entire departments in an organization do not want or do not have the means to share information or knowledge with each other. To become smarter and more agile than competing counterparts, Musk emphasized that Tesla must address a weakness that companies, when developing to a certain scale, often encounter: internal differentiation or "Silo."

Tesla had to resist the trend of internal differentiation. Musk said he would fire any manager at Tesla who let this happen, let alone encourage or coerce subordinates to report to him first. This means, "you can talk directly to a vice president in another department, you can talk to anyone without needing anyone else's permission. Moreover, you should consider it your duty to do so until the right thing happens." ... "We are all on the same boat. So, always remind yourself that you are working for the benefit of the company, not for the selfish interests of the department you are working for," Musk wrote.

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Questions:

The "No Silo" principle applied at Tesla is based on which principle according to Henri Fayol's 14 Principles of Management? Explain your answer and discuss one potential advantage and one potential risk of applying this principle in large organizations.